TITLE INSURANCE POLICIES · 1

Owner's Policy (ALTA)

ANSWER · 1

Insures the buyer/owner's title interest for as long as they (or their heirs) own the property. The policy amount is typically the purchase price.

TITLE INSURANCE POLICIES · 2

Loan Policy

ANSWER · 2

Insures the lender's security interest in the property up to the loan amount. Coverage generally decreases as the loan is paid down and ends when the loan is satisfied.

TITLE INSURANCE POLICIES · 3

Construction Loan Policy

ANSWER · 3

A loan policy issued during construction financing, often updated with endorsements ("date-downs") as construction draws are disbursed, to protect the lender's priority at each stage.

TITLE INSURANCE POLICIES · 4

Insuring Clause

ANSWER · 4

The section of a policy stating exactly what the insurer promises to cover — e.g., loss from title being vested other than as stated, or from liens/encumbrances.

TITLE INSURANCE POLICIES · 5

Conditions and Stipulations

ANSWER · 5

The policy's operating rules: how to file a claim, the insurer's duty to defend, subrogation rights, and what limits or voids coverage.

TITLE INSURANCE POLICIES · 6

Exclusions from Coverage

ANSWER · 6

Standard, pre-printed risks every ALTA policy leaves uninsured no matter what the search shows — e.g., zoning/governmental police power, eminent domain, and matters created by or known to the insured but not disclosed to the insurer.

TITLE INSURANCE POLICIES · 7

Schedule A

ANSWER · 7

The part of a policy/commitment identifying the insured, the policy amount, the estate insured, and the vested owner.

TITLE INSURANCE POLICIES · 8

Schedule B

ANSWER · 8

The part of a policy/commitment listing exceptions to coverage — Part I: requirements to close; Part II: standing exceptions that remain even after closing.

TITLE INSURANCE POLICIES · 9

Deed of Trust = Mortgage (for insuring purposes)

ANSWER · 9

In all forms of title evidence approved for use by title insurers, a real property security instrument identified on its face as a "deed of trust" is defined the same as a mortgage.

TITLE INSURANCE POLICIES · 10

Unmarketability of Title Coverage

ANSWER · 10

Protection against title so clouded by defects that a reasonable buyer would refuse it. An ALTA Owner's Policy insures against this — a bare Commitment for Title Insurance does not.

TITLE INSURANCE POLICIES · 11 EXAM-STYLE

What would permit removal of a title exception for lack of access?

ANSWER · 11

Evidence of a recorded easement, right-of-way, or other legal access

Access exception → prove LEGAL access, not just physical access.

Easements and rights-of-way are core Rights & Interests topics. There's no Colorado statute saying any recorded easement automatically forces removal — the easement must actually establish satisfactory legal access.

TITLE INSURANCE POLICIES · 12 EXAM-STYLE

A title insurance policy indemnifies the insured against loss or damage suffered by reason of:

ANSWER · 12

Liens or encumbrances, defects in title, or unmarketability of title

Remember the three: LIENS/ENCUMBRANCES → DEFECTS → UNMARKETABILITY.

C.R.S. §10-11-102(8) defines title insurance as insuring, guaranteeing, or indemnifying owners or others interested in real property against loss or damage resulting from liens or encumbrances upon, defects in, or unmarketability of, title.

TITLE INSURANCE POLICIES · 13 EXAM-STYLE

Title insurance indemnifies which of the following against loss suffered by reason of defects in the title?

A. A successor by merger to the named insured
B. The real estate agent in the transaction
C. A third-party claimant asserting an interest
D. An attorney-in-fact who signed under a power of attorney

ANSWER · 13

A successor by merger to the named insured

Successor by MERGER steps into the insured's shoes. A CLAIMANT is who you're insured against, never who you insure.

ALTA policy Conditions (definition of "Insured"); C.R.S. §10-11-102(8) covers owners "or others interested in real property."

TITLE INSURANCE POLICIES · 14 EXAM-STYLE

Which policy protects the lender from loss resulting from a title defect?

ANSWER · 14

Mortgage policy

Lender → MORTGAGE / LOAN policy. Buyer → OWNER'S policy.

In Colorado title practice a security instrument identified on its face as a "deed of trust" is defined the same as a mortgage for insuring purposes, so "mortgage policy" and "loan policy" mean the same thing here.

TITLE INSURANCE POLICIES · 15 EXAM-STYLE

Which of the following is a matter found in Schedule A of a title insurance policy?

A. The description and legal identification of the insured land
B. The list of exclusions from coverage that apply to every policy
C. An explanation of the policy conditions and the insurer's duties
D. Definitions of the terms used throughout the policy

ANSWER · 15

The description and legal identification of the insured land

Schedule A = the FACTS (who, how much, which land).

Schedule A = the facts of this transaction. Schedule B-I = requirements to clear before closing. Schedule B-II = exceptions that survive closing.

TITLE INSURANCE POLICIES · 16 EXAM-STYLE

Which of the following may be listed as an exception in Schedule B, Part II, of a title insurance policy?

A. Parties in possession of the land
B. Lack of access to and from the land
C. Protection from unknown heirs of previous owners
D. Protection against forgeries and fraudulent conveyances

ANSWER · 16

Parties in possession of the land

If a choice describes PROTECTION, it is coverage — not an exception.

Schedule B-II holds the exceptions that survive closing. An exception removes something from coverage, so anything phrased as protection belongs to the insuring provisions instead.

TITLE INSURANCE POLICIES · 17 EXAM-STYLE

A basic title insurance policy may provide coverage for which of the following, subject to the policy terms and exclusions?

A. Certain claims that were never recorded in the public records
B. All water rights and ditch rights appurtenant to the land
C. All mineral rights, including those severed from the surface
D. Real estate taxes that will become due and payable after closing

ANSWER · 17

Certain claims that were never recorded in the public records

Hidden / UNRECORDED risks → can be covered. Water, minerals, future taxes → not.

Coverage for off-record risks is always "subject to the policy terms and exclusions" — the standard ALTA exclusions (zoning and governmental police power, eminent domain, and matters created or known by the insured but not disclosed to the insurer) still apply.

YOUR OWN CARD

ANSWER

YOUR OWN CARD

ANSWER

YOUR OWN CARD

ANSWER